

An Analysis of Massachusetts Affordable Housing Policy: Chapter 40B

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KHC EC103

Executive Summary

Across the United States, a critical topic in policy-making has been creating more affordable housing; and in Massachusetts, especially this issue needs attention. Massachusetts is generally an expensive place to live, and Chapter 40B has been a critical policy in the production of affordable housing in Massachusetts for over 50 years. This policy enables developers to bypass zoning regulations in municipalities with less than 10% affordable housing stock.¹ However, despite its successes, this policy has significant weaknesses and criticisms against it. This memo analyzes the areas for improvement within 40B and devises strategies to enhance its effectiveness.

The general support for 40B comes from its increased use over time, proven ability to create market-rate and affordable housing, comprehensive permit that simplifies the process for developers, and its prevalence as one of the main affordable housing policies Massachusetts has. The critiques against 40B are that it is not creating enough affordable housing, it is vulnerable to being exploited to build luxury housing, and viewed by local communities and officials as being disruptive.

Further analysis of the policy reveals that 40B faces challenges in sustaining affordable housing levels and growth. Additionally, the policy's 10% threshold for affordability and time limits for how long the housing must remain affordable detract from its long-term impact. Despite the appeal of the comprehensive permit, the process of applying for project development is still convoluted and offers up opportunities for NIMBYism to have an effect.

The overarching conclusion of policy analysis for 40B is that the law is not creating sufficient affordable housing. This memo makes three recommendations for enhancing the effectiveness of 40B:

- Reintroducing subsidies to the policy to incentivize developers to build and maintain truly affordable units and reach the neediest residents.
- Revising the 10% affordable housing goal to promote perpetual affordability and gradually restore control of housing production to the local level rather than all at once to mitigate the backtrack of SHI.
- Further streamlining the approval process for developments, possibly by having developers go straight to the HAC rather than first the ZBA until reaching the 10% goal to attract more developers and ward against NIMBYism.

Description of Policy

Chapter 40B is the Massachusetts state affordable housing law that enables developers to bypass zoning regulations in municipalities with less than 10% affordable housing under the condition that they allocate a certain percentage of the units as affordable. This law specifies that in developments designated for homeownership, a minimum of 25 percent of the units should be affordable to residents with household incomes of less than 80 percent of the area median income. Developments set to be rented out should have no less than 20 percent of the units allocated to households bringing in under 50 percent of the area median income. Under Chapter 40B, a developer can apply for a comprehensive permit to be approved by the Zoning Board of Appeals which expedites the process of getting permits and decreases the burden of creating affordable housing in terms of time and cost to develop. Additionally, with these permits developers can build projects larger and of higher density than would otherwise be allowed.

The 40B policy was enacted in 1969 with the intent to increase the stock of affordable housing across Massachusetts. The law was a response to exclusionary zoning practices that had become widely used by the 1960s and were fueling a huge shortage of housing, especially affordable housing.

One notable reform to 40B since 1969 was the expansion of what is defined as an affordable housing subsidy for development under 40B. Originally, most 40B projects received funding through public housing or section 8 which meant that rather than a portion of the units being affordable, these developments were fully comprised of affordable units. Whereas now, building projects through 40B aren't directly subsidized and are instead part affordable units, part market-rate units.²

Over the years, 40B has demonstrated the ability to produce units of low and medium-income housing that would likely not have been constructed in the absence of the law. However, although 40B has been successful in many facets, there are multiple flaws and weaknesses it has been accused of. In 2010, it was brought to vote on the ballot to repeal 40B; the proposal ended up losing, although many advocated for getting rid of the law.³ In the over 50 years that Chapter 40B has been around, it has had both supporters in favor of its strengths and many communities who point out its weaknesses.

Supporting Views

Chapter 40B has been successful in increasing the production of housing. Although the main goal of 40B is to target affordable housing production, by default, it also increases the production of market-rate housing which can be seen as a positive as it reduces the shortage of housing in general. Since its inception, 70,000 total units of housing have been produced under the law. Chapter 40B has also promoted the building of affordable housing as over 35,000 of the

mentioned total units were designated to be affordable.⁴ A policy paper by research advisor Carolina Reid at the Turner Center for Housing Innovation at UC Berkeley also stated that “research has shown that Chapter 40B has resulted in significantly more low-and moderate-income housing being built in the suburbs than would have been created absent the statute”.⁵ This is important to note because it directly attributes the building of more affordable housing to 40B rather than other factors.

Another benefit of 40B is that it is an economically strategic way to reduce development costs for builders. This point is recognized in an article that references the town of Waltham Massachusetts, stating that the beneficial design feature of 40B is its ability to incentivize developers to build housing without putting a cost on taxpayers.⁶

The importance of 40B is also apparent in that Massachusetts does not have many other strong policies generating housing in general or affordable housing. In an article posted to the Vineyard Gazette which represents Massachusetts island, Marthas’s Vinyard, State Senator and representative of the island, Julian Cyr, said “40B is really the only law we have. Without it, we’d have very little in the way of affordable housing”.⁷ As of 2024, Massachusetts Governor Healy is pushing for a housing bond bill meant to provide funding to create and preserve housing to address the housing shortage in Massachusetts, but the bill is yet to be passed.⁸

Opposing Views

Those who are opposed to 40B often see the law as a means for developers to take advantage of local zoning regulations to build luxury housing instead of affordable housing. This issue has been connected to the fact that there are no real measures in place to ensure that a percentage of the units created under 40B are truly affordable. An article by Rice Pond Village, a neighborhood blog for community advocacy in Millbury Massachusetts, stated that 40B “has

created a perverse incentive for developers to build luxury housing”.⁹ Along these same lines, an article addressing 40B in Arlington Massachusetts argued that 40B is a corrupt program and that Arlington has fallen victim to this weakness as a developer under 40B failed to pay \$500,000 in excess profits they owed. This article also argues that “corruption endemic in the Massachusetts 40B industry is possibly the major cause of Massachusetts’ dreadful ranking in affordability (48th out of 50 states) and its increasing homelessness”.¹⁰

There is also a common argument among the opposition that while 40B has indeed created affordable housing, it is not doing enough. The article by the Vineyard Gazette mentions that since the law has been around, “the state’s overall subsidized housing stock has increased by less than two percent”. Notably, while Massachusetts has a total of 351 cities and towns, since 40B was enacted, only 71 of which have met the 10 percent threshold for affordable housing aimed for by the 40B policy.¹¹ Additionally, as mentioned in an article called “40B is not working for local towns”, “once built, these developments don’t stay as designated affordable”. There is a time limit of commonly 10 to 15 years set for how long a unit needs to remain affordable which can lead to tenant displacement and backtracking on the amount of affordable housing in an area.

Another consistent problem with 40B is the pushback and concerns of local communities. One concern communities have is that local budgets will be strained and living costs for current residents will rise with new residents coming into a neighborhood. Others worry that being close in proximity to affordable housing developments will drive the price of their home down. Additionally, local officials tend to dislike the loss of control that 40B creates. It is difficult to determine whether these concerns are simply NIMBYism or hold true to real problems. An article that talks about a 40B project in Stoneham Massachusetts, says “Not only will this large

development add more congestion to an already high traffic area, but it will also overburden our schools and public safety and ultimately add to the property tax burden.” The article attributes this problem to an oversight in how 40B characterizes affordability, arguing that the narrow definition causes some units to not be counted as affordable; meaning that an area might already be meeting the 10% requirement but since the state doesn’t recognize it, the building process continues.¹² While some concerns may be valid, excessive NIMBYism can hinder the implementation of 40B housing where it’s actually necessary. The Vinyard Gazette article conveys that this has been a big problem in Martha’s Vineyard, where affordable housing levels have decreased over the past decade. Dukes County Regional Housing Authority director David Vigneault believes that the powers of the Martha’s Vineyard Commission have “largely deterred off-Island developers from utilizing the classic 40B more on the Vineyard”.¹³

Finally, often related to issues of NIMBYism are critiques that 40B has not helped promote racial integration in neighborhoods to decrease segregation as much as it should. The Vinyard Gazette states that “studies have also shown that despite state oversight, most 40B projects built in the last several decades have remained in already-dense multiracial urban areas, while whiter, more affluent suburban communities nearly unchanged”.¹⁴ Some with this view have brought up the need for more zoning reforms and supporting regulations to get past constrictive zoning policies.

Policy Analysis

The most pressing issue with Chapter 40B is that it is not creating enough affordable housing. This problem can be traced back to a few points of weakness within the 40B policy. As previously mentioned, it is clear that 40B has created housing; 70,000 units total, of which

35,000 (or 50%) are affordable. However, there is more context behind these numbers that brings to question the true impact or effectiveness of 40B. First of all, the number of affordable housing units created can be misleading because affordable units created under 40B are not required to remain affordable in perpetuity. This means that even once a community hits the 10% affordable housing goal, it can still go backward. In Charts 1 and 2, we see how housing production changed over the time period of 1997-2017.

Chart 1

Subsidized Housing Production Progress 1997-2017

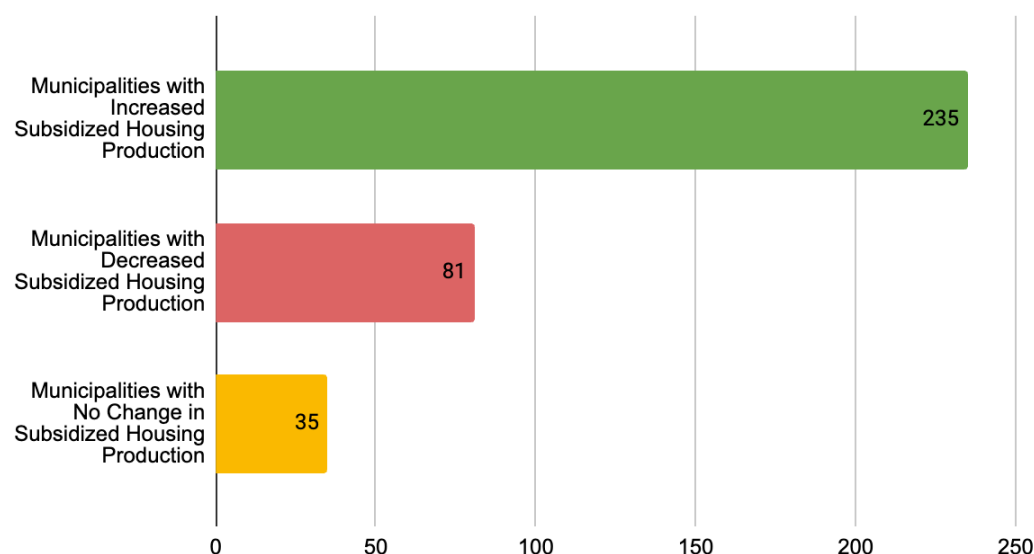


Chart 1 tells us whether there was an increase, decrease, or no progress in housing production; this is important because it gives us more insight into whether 40B was effective; we see that 235 or 67% of municipalities increased subsidized housing production, but 23% decreased production and 10% had no change.¹⁵ The data on the decrease in production are very notable as they raise the issue that some municipalities are moving backward rather than forward in subsidized housing production. To further analyze the trend in subsidized housing production in these areas we see in Chart 2 the average percentage point increases and decreases in production across municipalities from 1997 to 2017.

Chart 2

Average Percentage Change in Subsidized Housing Production 1997-2017

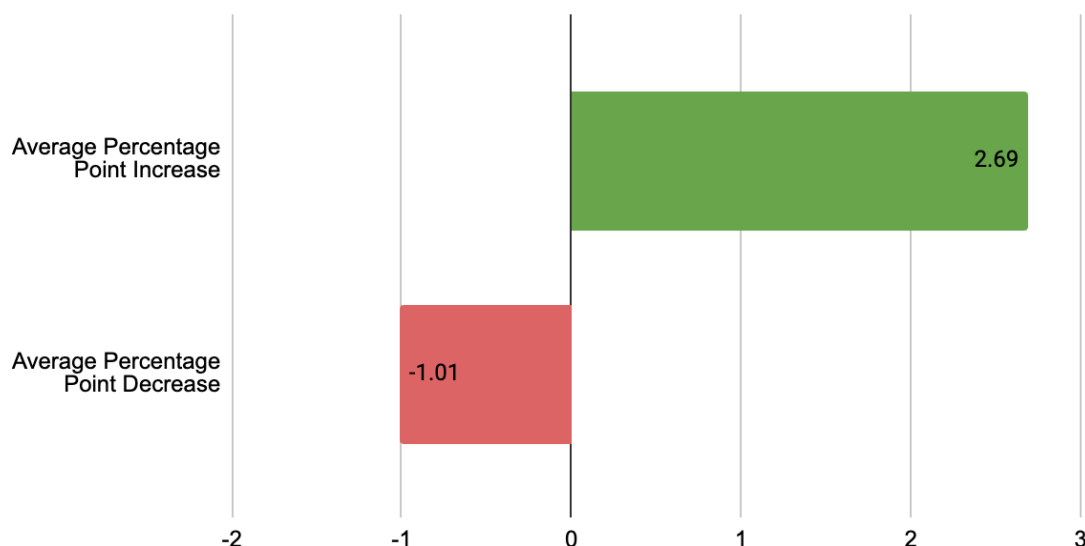


Chart 2 shows us that the average percentage point increase of those 67% of municipalities that increased production was 2.67, and the average percentage point decrease of those 23% of municipalities that decreased production was -1.01.¹⁶ Although there was more drastic an increase than a decrease, considering this is over a period of 20 years, the decreases are still very significant. With a policy that aims to get municipalities to generate more affordable housing, we shouldn't be seeing decreases like this if we want the quantity of affordable housing units to be sustained.

There are also issues with the 10% goal itself. The question is, is this goal large enough, and what effect does reaching it have on municipalities that do? The 10% goal seems to be large enough in that it is not easily accomplished; most municipalities have not met this goal and it is a lot of work to get there. However, the problem with the 10% goal is that it sets a hard line in the sand; once it's met, local officials gain back control over developers and this slows, stops, or reverses the gain of SHI. This idea has been referred to as the 10% plateau effect and is demonstrated in Chart 3.

Chart 3

Change in Subsidized Housing Production In Municipalities That Met the 10% Goal in Previous Period

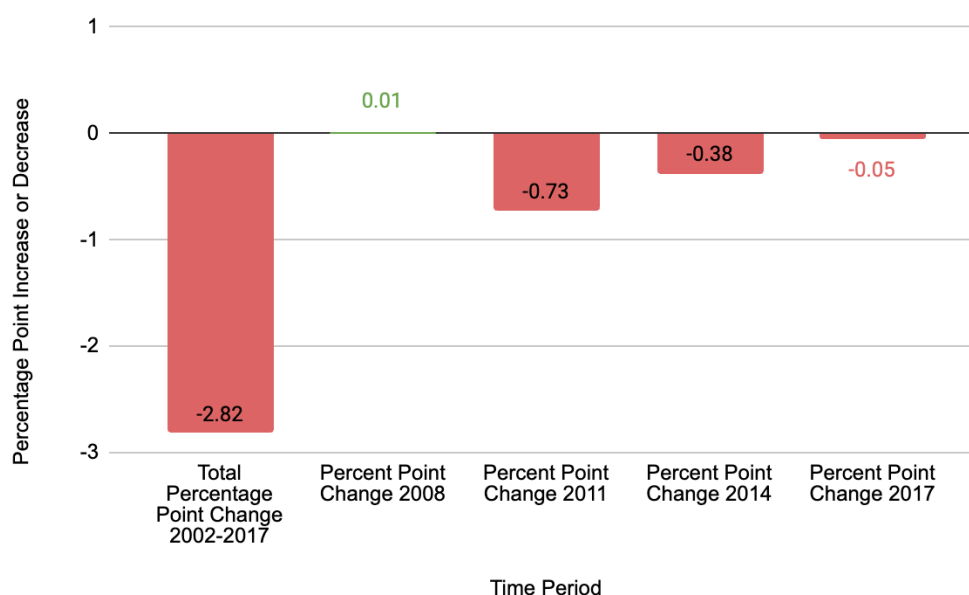
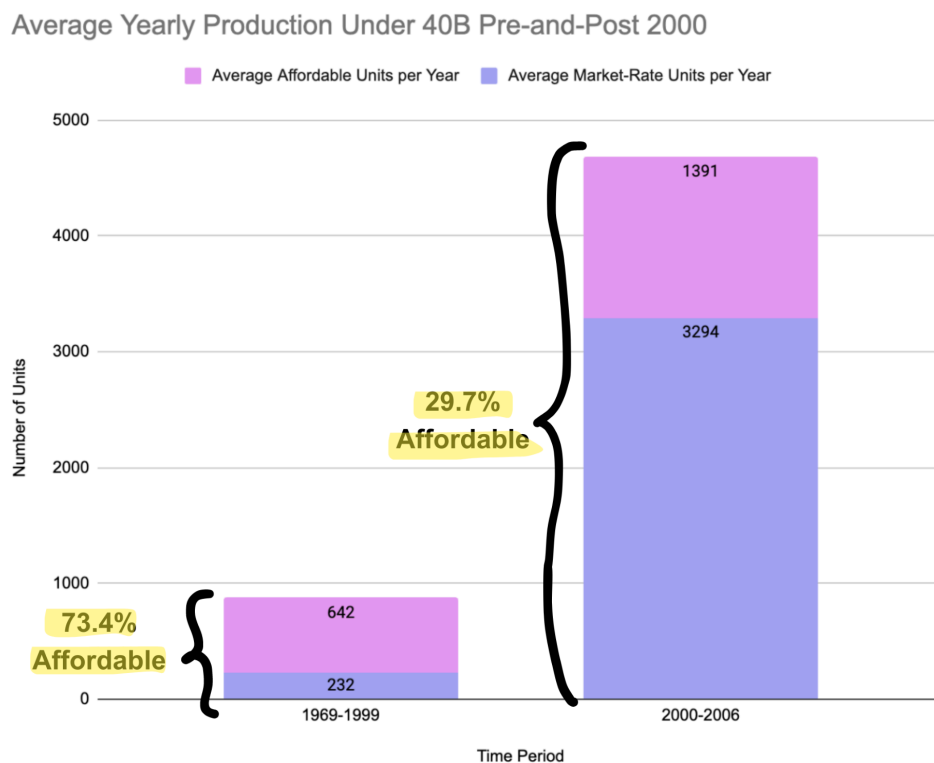


Chart 3 demonstrates the percentage point change in subsidized housing in various years throughout 2002-2017 in municipalities that had met the 10% goal for affordable housing in the previous period. The chart shows that the total percentage point change in subsidized housing from 2002-2017 in these municipalities was -2.82. Most of the individual years in this time range had a negative percentage point change in SHI. This data source also mentioned that local officials viewed the 10% threshold as “the point at which they could regain control over the development of subsidized housing.” However, the data reveals, that this regain of control generally translates to severe restriction of additional affordable housing production.¹⁷

It is also important to examine how 40B has been used over time. Chapter 40B has been around for 50 years; during this time, there have been some important changes in the law that have impacted its activity in terms of how frequently it has been used and who is using it. When 40B first came about, it was mainly used by non-profit organizations, local housing authorities,

and private developers, these developments were deeply subsidized. Then in the 1980s, the federal government cut funding for housing production and by the 1990s most state programs had also been eliminated. Because of these changes, the number of developments under 40B initially fell drastically. However, since 2000 40B has been used much more frequently and now appeals to a different group, of more diverse developers. This change in who is building through 40B is important because of the incentive change; general developers as compared to non-profits are much more focused on the financial gain or lack thereof that results from a project. These changes are also reflected in the percentage of the housing that was allocated as affordable pre- and post-2000. Chart 4 demonstrates these effects.

Chart 4



Through Chart 4 we see that 40B became more used after 2000 but the percentage of affordable units declined drastically. It is great that production through 40B has increased but increased

production combined with a higher percentage of affordable units would create even greater an impact on the amount of affordable housing being created.¹⁸

In thinking through possible explanations for why 40B is less effective than it could be, we must further consider the incentives or disincentives it creates for the different groups it impacts. The main groups to consider in connection to 40B are the developers, and the communities where a development may be implemented, including its local officials.

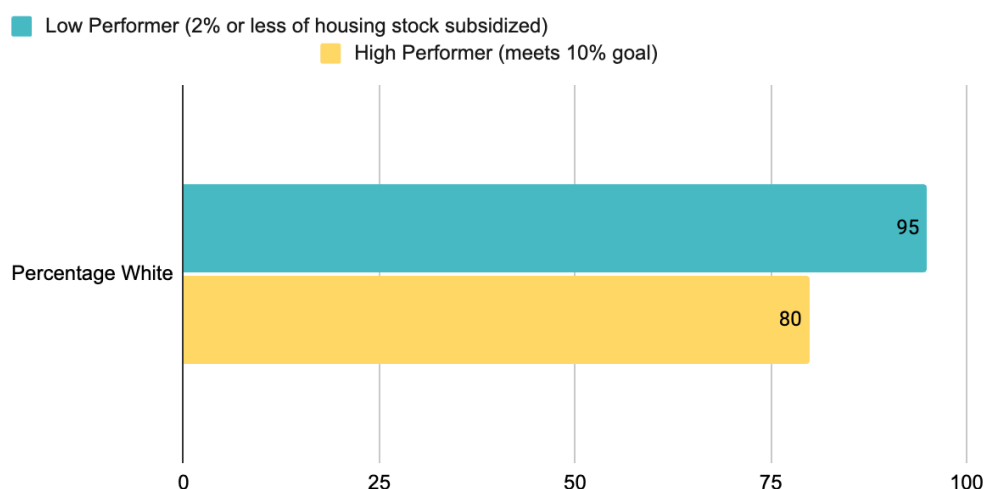
Developers utilizing 40B are incentivized to build by the comprehensive permit that expedites the development process and the ability to bypass local zoning regulations that the law gives them. However, one question to think about is, are these incentives enough to get developers to build? This comes into question because of the requirement 40B has for developers to allocate a certain amount of units as affordable, which works as a disincentive for developers because it means they are making less money and have to consider how the market rate units will cover the cost of the affordable units. If a developer finds that the project will not play out economically in their favor, they will not build. For this reason, in terms of 40B's effectiveness, we should also consider who the law is serving. Since 40B developers already have to think about the cost of allocating a percent of developments as affordable, often those units do not serve the neediest residents because that would be too much cost for developers to take on because their market-rate units wouldn't be able to cover such low-cost units, and 40B misses this group.

There are different incentives and disincentives at play for community members and local officials. Local community members as previously mentioned often display tendencies for NIMBYism with reasons for opposing 40B typically being that projects are too disruptive to the

neighborhood but racism can be an underlying factor to this. In Chart 5 we see evidence of potentially racially motivated NIMBYism.

Chart 5

Percent White Population in Municipalities with Low vs High Performance in SHI

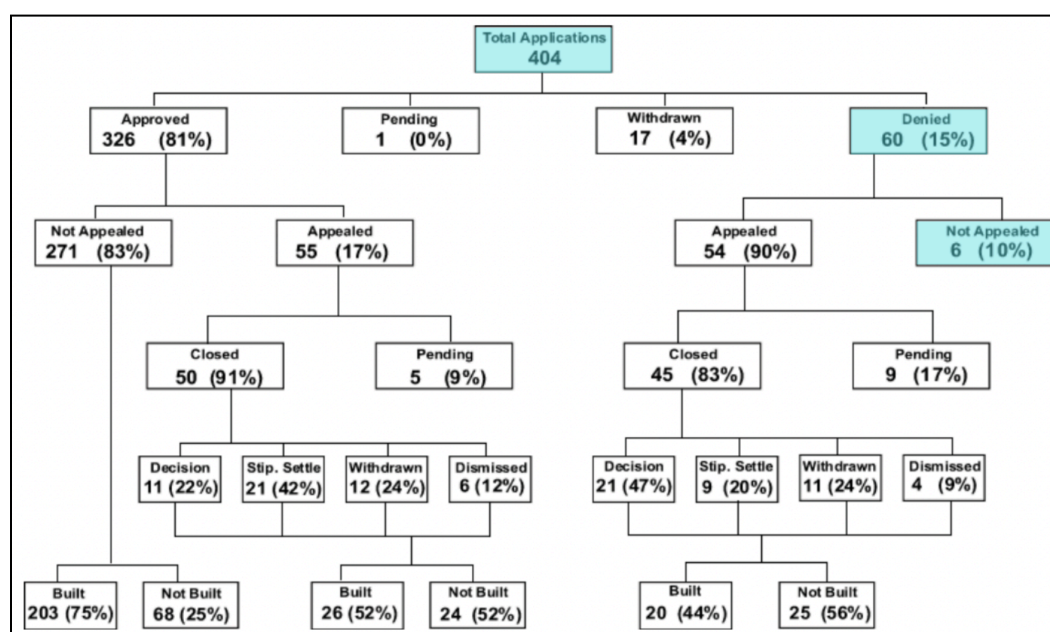


This chart shows that municipalities that were low performing in SHI production had a higher white percentage than those that were high performing; indicating that racially motivated NIMBYism could be at play in preventing 40B developments from being built. The study from which this data is sourced also includes a more thorough presentation of data through multivariate analysis through which it comes to a clearer conclusion on the hypotheses it examined. It is determined that there is a higher percentage of the white population associated with fewer subsidized housing units per 1,000 of the population in addition to the lower likelihood of meeting the 10% goal.¹⁹

Local officials can also be disincentivized to allow 40B projects. For local officials, a big concern with the percentage of units being affordable is the decrease in the property tax revenues resulting from such a development. However, some local officials might want to push toward the 10% goal because once they hit it, the municipality is no longer subject to developers overriding

local zoning laws. How the local communities and officials respond to 40B can be a problem because part of the process of 40B development is when developers first apply to proceed through the local Zoning Board of Appeals (ZBA) which represents the local municipality members. The ZBA can deny the developer's application based on their judgment of the project. However, under 40B, if the development is rejected by the ZBA in a municipality with less than 10% SHI, the developer has the option to appeal to the HAC to potentially proceed in spite of the ZBA's decision. This process is shown in the chart below, from a Harvard study done in 2008.

Figure 1: "Life Histories" of Chapter 40B Applications



Although developers have the option to appeal through the HAC, the section of the chart highlighted in blue demonstrates that of the 15% of applications that get denied by the ZBA, 10% do not appeal.²⁰ This decreases from the amount of 40B developments that are built.

Another aspect to note from this chart is how extensive the process of negotiating developments is; part of the appeal of 40B is meant to be the efficiency of the comprehensive permit, but developers still experience big delays. This may deter some developers from utilizing 40B.

Recommendations for Improvements

To further incentivize developers to utilize 40B there should be an element of subsidy added back to the process. Especially nowadays as building costs continue to rise, developers often find it difficult to take on construction of a project that will be partially affordable meaning less money is coming in to support ongoing costs. Adding a subsidy would remove some of the barriers stopping developers from proceeding with the process. Additionally, subsidies could be utilized to tackle the problem that 40B doesn't reach the neediest of people. For example, subsidies could be offered only to developers who allocate a certain percentage of units to be even more affordable than other affordable units to reach the lowest income people. As an approach to increase the percentage of units allocated as affordable, subsidies could be given to developers who increase the percentage of units their development will make affordable.

There should be a revision to 40B that requires affordable housing created to remain affordable perpetually and be properly maintained as well as changes to the 10% goal to promote continued affordable housing development. As we saw in Chart 2, municipalities do not always move forward with housing production, sometimes they move backward. Decreases in the percentage of affordable housing stock can happen for a few reasons including if the housing becomes worn out and destroyed if the time requirement for affordability expires. If housing does not remain affordable then the SHI decreases and the town may go backwards on its goal for the 10%. However, the potential negative effect enforcing perpetual affordability may have of disincentivizing developers from building should be considered. Having units remain affordable forever could also help ward against developers taking advantage of 40B to build luxury housing because if the units have to remain permanently affordable then developers might not see the opportunity to have the development be entirely luxury housing in the future. Additionally, to

keep the SHI from decreasing, the buildings should be maintained regularly so as to not fall into disrepair. Finally, if local officials are gradually given back control over housing development after meeting the 10% requirement rather than all at once, the creation of affordable housing may continue making progress; to push back against the 10% plateau effect.

There should be reforms to the process of applying to build developments to further expedite the process and incentivize developers. One idea for reform is that in municipalities where there is less than 10% affordable housing, there should be a provision that says that developers should go straight to the HAC with their proposals to expedite the process and to increase the number of project approvals. This would also take away the potential for NIMBYism to filter its way into denying 40B developments because there wouldn't be a direct connection to local communities through the ZBA. While the zoning board of appeals does have a high rate of acceptance toward 40B projects, it would still be helpful for the developers to go straight to the HAC because (as shown by Figure 1) when they are denied at first, some don't even choose to appeal. This takes away from the amount of developments that are actually being built. However, there are many positive aspects to the ZBA that should be considered. For example, developers can sometimes find it beneficial to them to hear feedback from the ZBA about their projects and constructive criticism to apply to a redesign. Additionally, the ZBA can occasionally have the effect of actually negotiating for the developer to have a higher percentage of affordable units.

Conclusion

Chapter 40B is flawed but its increase in popularity since its inception combined with the changes suggested above to enhance the policy has the potential to generate significant increases

in the production of affordable housing. For proper modification and optimization of 40B, the policy changes need to factor in how developers, and local communities and officials will respond. The policy needs to be enhanced and maintained because Massachusetts still requires dramatic increases in its subsidized housing inventory to improve its affordability ranking and there is no policy creating affordable housing at a comparable rate to 40B.